



DALAL & BROACHA
STOCK BROKING PVT. LTD.

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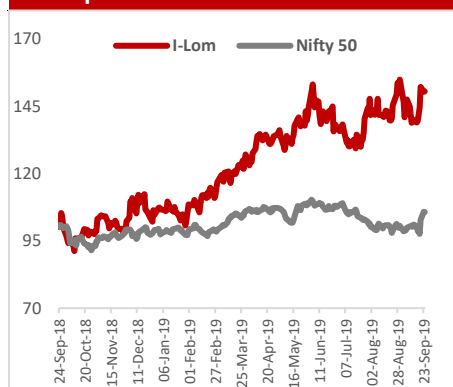
BUY

Current Price	1170
52 Week Range	703/1285
Target Price	1,400
Upside	20%

Key Share Data

Market Cap (Rs.bn)	531.68
Market Cap (US\$ mn)	7,487
No of o/s shares (mn)	454
Face Value	10
Monthly Avg.	
vol(BSE+NSE) Nos'000	1612.7
BSE Code	540716
NSE Code	ICICIGI
Bloomberg	ICICIGI: IN

Price performance



% Shareholding	Jun-19	Mar-19
Promoters	55.86	55.87
DIIs	5.98	7.95
FIIIs	18.53	13.24
Others	19.63	22.94
Total	100.0	100.0

We initiate coverage on ICICI Lombard (I-Lom) with a Buy rating as we believe the company has multiple levers in its favour, including 1) increasing insurance penetration, 2) Progressive regulations, 3) focus on lucrative segments and 4) growing distribution reach, which will drive growth in the coming years. Besides, the company has strong fundamentals, which includes better combined ratio (98.5% vs private sector players average of 103.6% in FY2019), healthy capital position (solvency ratio stood at 2.24x vs regulatory requirement of 1.50x), and higher return ratios (ROAE stood at 21.3% for FY19).

In order to increase business scale, the company is taking various initiatives, including scaling up of its distribution network, sales force, and geographic footprint. Company has also invested a considerable amount in technology and automated most of its processes to enhance operating efficiency and reduce the turnaround time.

Going forward, we believe that I-Lom will focus on granular risks while cautiously increasing proportion of CV segment in motor portfolio, which looks attractive after the last few price reassessments. The company is also launching several small-ticket insurance products and will reduce its exposure from crop insurance segment considering unfavorable pricing. Company's financial performance will also benefit from the lower tax rate regime (tax rate declined to 25% from 34-35%).

Immense growth opportunity in the sector: India, as a country offers immense growth opportunities for non-life insurance sector, owing to the favorable demographic dividend (with 65% of the population below the age of 35), continued structural reforms and lower penetration in non-life insurance at around 1.2% of GDP (calculated), against a world average of 2.78% (in CY18 according to Sigma 2018 Swiss report). We expect General insurance industry (GI Ind) to grow at a strong pace for the next few years, owing to increasing penetration levels in several segments, introduction of new products covering miscellaneous risks associated with the current market scenario and growing awareness among people. With significant growth potential in GI Ind, we expect that I-Lom, being the largest player in the private side of the industry, will be the major beneficiary of this growth story.

Focus on lucrative segments: I-Lom follows a strict risk to reward discipline, which includes a data-driven risk selection framework, conservative reserving, and quality reinsurance. For example, in motor insurance, the company focus on two-wheelers, private cars and selective sub-segment of commercial vehicles. Ideally, private cars & two wheelers are more profitable segment than commercial vehicles. In Health insurance segment, Company is focusing on retail health indemnity, SME & mid-corporate segments, and are still not chasing after the large group health account unless they are profitable. Company's strong underwriting standards can be seen in its insured losses during catastrophic events (there were seven major catastrophic events from 2013, where the company's losses have been much lower than its natural market share).

Valuation

With strong capitalization, sound investment quality and prudent risk management practices, we expect that I-Lom to deliver strong performance, including solid underwriting, higher profitability & better solvency in foreseeable future. This will support a valuation premium. We initiate coverage on the stock with a buy rating and a target price of Rs 1,400 per share. We value the stock at 28x Mar'22E EPS for a PAT CAGR of 29% over FY19-22E.

Financials (Rs Mn)

YEAR	GDPI	Growth (%)	PAT	Growth (%)	ROE	EPS	P/E
FY19	144,882	17	10,493	22	19	23	51
FY20E	152,313	5	13,667	30	22	30	39
FY21E	179,117	18	18,049	32	25	40	29
FY22E	209,289	17	22,677	26	26	50	23

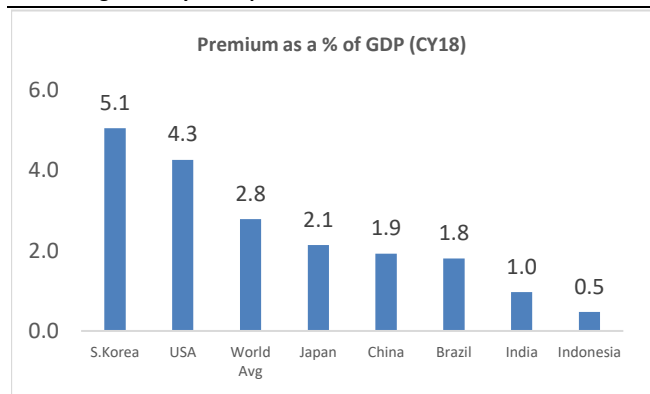
Investment Argument

Immense growth opportunity in the sector

General insurance industry (GI Ind), which has a size of Rs 1.70 tn on a GDPI basis as of FY19, offers financial protection for motor, health, crop, fire, and marine, to various categories of customers such as retail, corporate and government. India, as a country offers immense growth opportunities for non-life insurance sector, owing to the favorable demographic dividend (with 65% of the population below the age of 35), and lower penetration at around 1.2% of GDP (calculated), as against a world average of 2.78% (in CY17 according to Sigma 2018 Swiss report). The industry has shown strong growth in last few years (CAGR of 19% over FY15-19), owing to the expansion of the associated industries (like automobile & healthcare) and the introduction of new products covering miscellaneous risks associated with the current market scenario. Along with growth, there are trends which indicate that the industry is gradually moving toward sound underwriting practices, using latest technology for better customer service, implementing best practices and high professional standards.

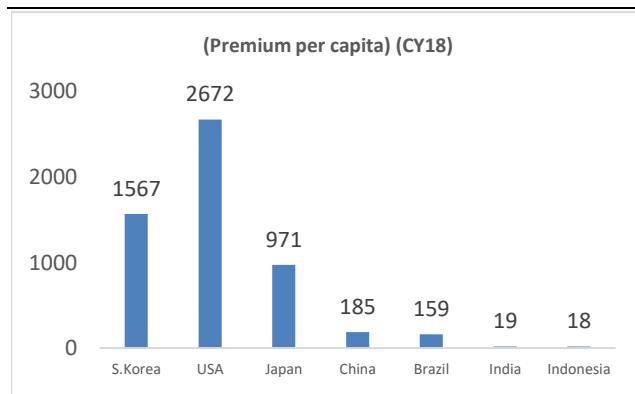
Motor insurance, which contributes around 38% of the overall GI premium in FY19, has shown a robust growth of 15% CAGR between FY15 and FY19, supported by strong growth in automobile sales and hike in motor third party premium by the regulator. Further, improved penetration and steady rise in disposable incomes helped the Health insurance segment to grow at CAGR 19% in the same period. The size of the Health insurance industry increased from Rs 226 Bn in FY15 to Rs 455 Bn in FY19. With the higher cost of healthcare and rising incidences of critical illness, we expect that health insurance penetration will continue to increase for the next few years. Meanwhile, fire and Marine insurance products together account for a share of just 8.8% of the overall GDPI during FY19. The products together witnessed a CAGR of 8% from FY15 to FY19, there was a slowdown in industrial activity resulting in tepid demand for the products.

Chart 1: significantly underpenetrated



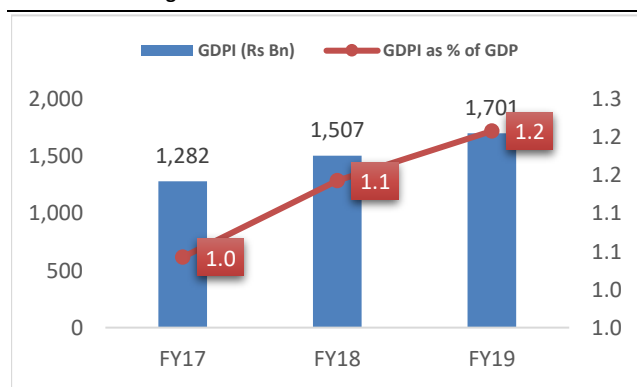
Source: Sigma 2018 Swiss Re, D&B Research

Chart 2: Non-Life Insurance Density / (Premium per capita)



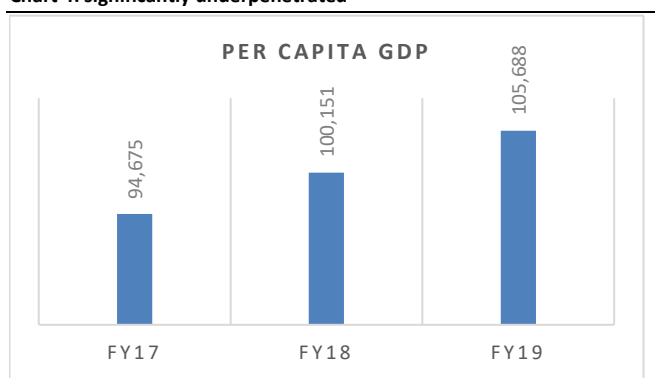
Source: Sigma 2018 Swiss Re, D&B Research

Chart 3: Increasing Insurance Penetration in India



Source: D&B Research/ calculated

Chart 4: significantly underpenetrated



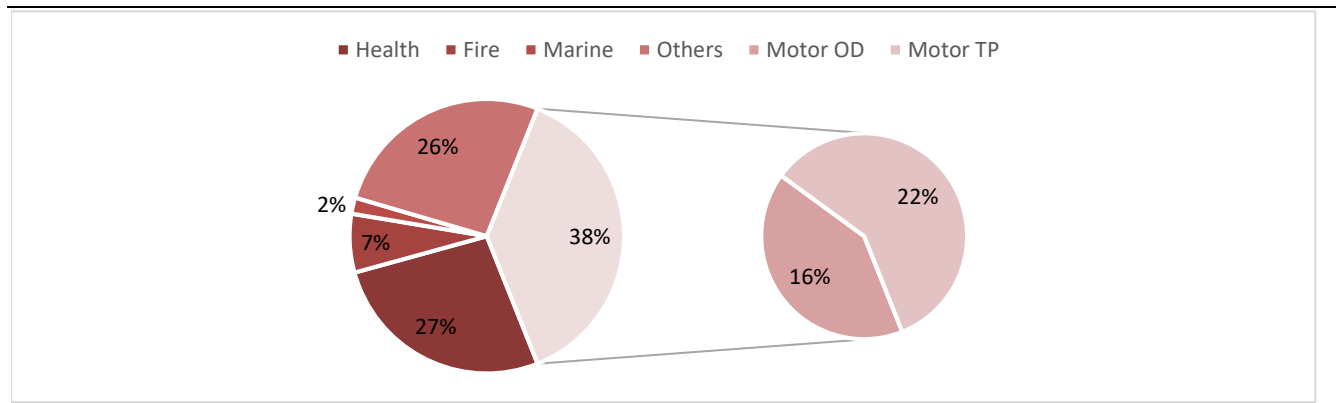
Source: Ministry of Statistics & Programme Implementation, D&B Research



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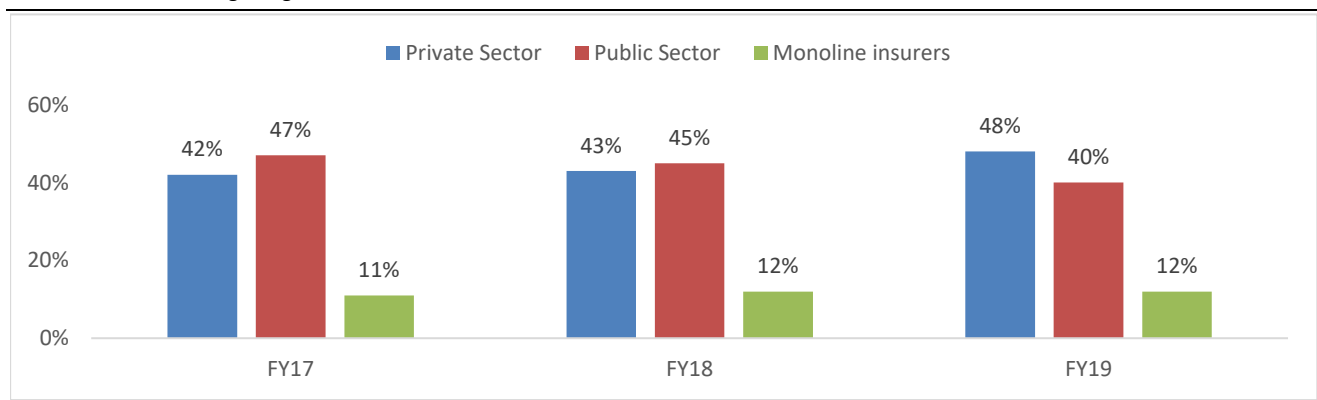
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Chart 5: India's general insurance market (mix of premiums), FY19



Source: D&B Research, General Insurance Council

Chart 6: Private insurers gaining market share



Source: D&B Research, IRDAI

Industry Outlook

With rising per capita income, wealth will start accumulating in the hands of individuals, and health insurance will be their major priority after savings, as financial planning & security will become more important in people's lives. Besides, Vehicles & homes will be their first insurable assets. In the last three years, the penetration of this sector in the country is increased from 1.0% in FY17 to 1.2% in FY19. Still, the penetration of the general insurance industry in India (1.2% of GDP), is far lower than other developing nations like Brazil (1.8%) & China (1.9%). Even if the general insurance industry grows by double-digit like 16%, it will take five years to reach 1.8% of GDP (considering the Indian economy is growing at around 7%). Insurance density (per capita general insurance premium) in India also remains substantially lower than other developed and emerging market economies. Moreover, recent regulatory changes are allowing insurer an easier access to capacity, capital, distribution reach, and customer information than ever before. With significant growth potential in GI Ind, we expect that I-Lom, being the largest player in the private side of the industry, will be the major beneficiary of this growth story.



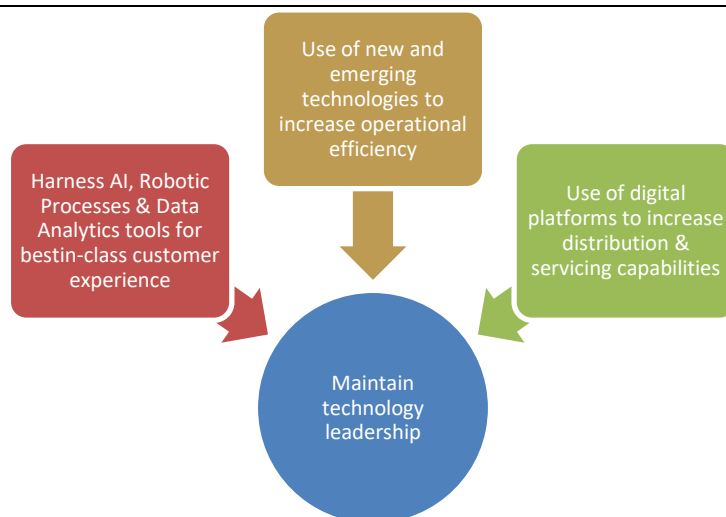
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Technology Evolving the GI Ind

GI Ind is evolving, and major players are using new technologies like artificial intelligence, block-chain technology, and machine learning to an assessment of real-time risk, instant policy renewals, and real-time claim processing. With the new-age risks such as cyber events & data frauds emerged as a major threat, it is vital for the sector to keep evolving, not only in terms of strengthening its service capabilities but also by increasing its bouquet of solutions to be able to effectively address the growing spectrum of risks. Several new products such as mobile insurance, cyber liability are being launched to meet the evolving customer requirements. Besides, purchase of online insurance has also increased as new-age customers prefer the speed, convenience of online policies that match their changing lifestyle. For the insurers, automation not only reduces the possibility of inaccurate assessments (due to human error) but also enhance efficiency and productivity, which will eventually improve the profitability.

In the case of I-Lom, robotics is being used across verticals to improve TAT, drive error-free operations and promote self-help option for internal and external users. As of date, 150 BOTs have been implemented across verticals (Source: Annual report 2019). Furthermore, its ability to integrate multiple distribution partners seamlessly into its systems & processes has helped increase its efficiency in business. Over the years, Company launched several 'first-of-its-kind' customer-oriented solutions.

Chart 7: I-Lom try to customize technology-enabled solutions and products



Source: D&B Research, Company

On the health care front, I-Lom reduced cashless pre-authorization approval time from around an hour to few minutes by introducing an Artificial Intelligence (AI) based claim settlement engine. During FY19, 6% of cashless approvals were done using the AI engine. The company has also launched a health insurance app called IL TakeCare in collaboration with Practo, which provides technical support. IL TakeCare covers OPD expenses of all its customers. This includes real-time claim authentication of expenses such as doctor consultation, medical tests, pharmacy spends, etc. Meanwhile, the company has tie-up with Microsoft to develop the country's first AI-based car inspection feature in its mobile app, "Insure." The app allows customers to buy or renew policies anytime, anywhere. And, soon it will also simplify the process of making a repair claim.

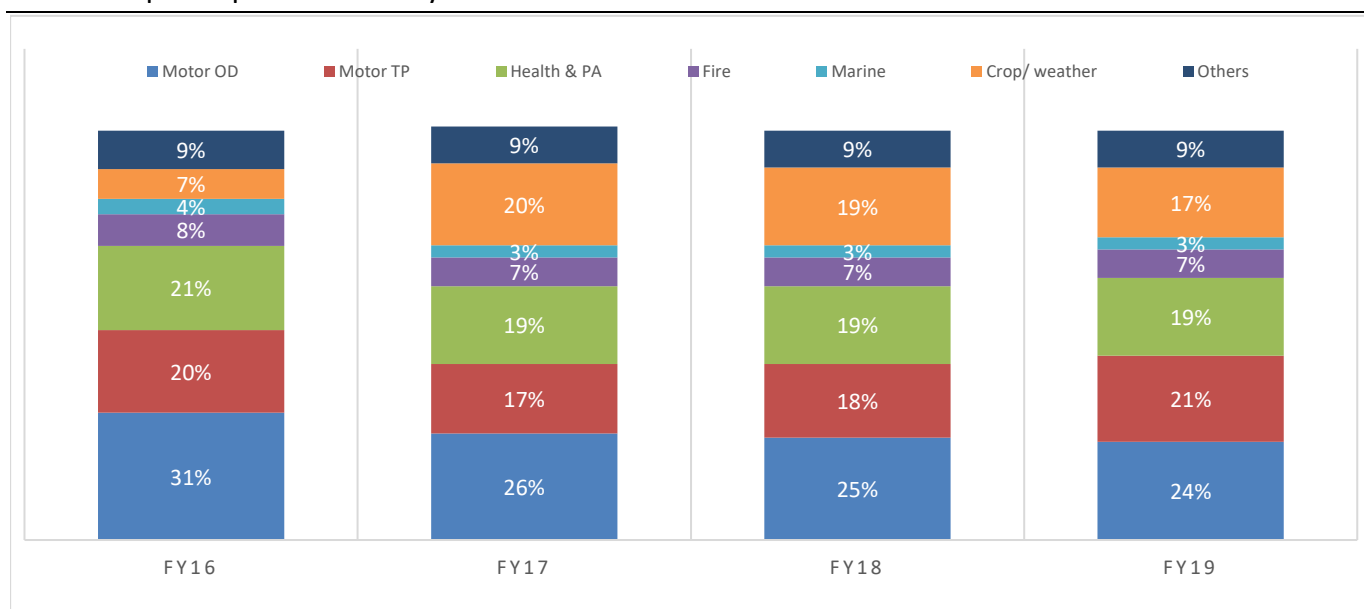


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Focus on lucrative segments

I-Lom is continuously increasing its product portfolio, enhancing services, increasing distribution reach and installing the latest technology to make insurance solutions comprehensive, simpler, convenient and faster for customer adoption. Besides, the company follows a strict risk to reward discipline, which includes a data-driven risk selection framework, conservative reserving, and quality reinsurance. For example, in motor insurance, the company focus on two-wheelers, private car and selective sub-segment of commercial vehicles. Ideally, private cars & two-wheelers are more profitable segment than commercial vehicles. The company's better underwriting performance was also supported by its flexible to enter/exit business lines base on risk factors. Because of which share of losses incurred from each catastrophic event since FY13 has been in the range of 1.5%-6.2%, while I-Lom's overall market share, by GDPI, has been higher than 7% during the same time period. For example, during Kerala floods last year (2018), insurance industry experience estimated gross insured losses of Rs 2,000 Cr, while company's share in gross insured losses is estimated to be around Rs 66 Cr (3.3% of industry losses). On a net basis, after reinsurance, loss to the company was Rs 25 Cr. This demonstrates its ability to grow profitably despite the inherent volatility in its core risk underwriting business.

Chart 9: Development of product mix in recent years



Source: D&B Research, Company

Given its focus on profitability, the company has adopted a cautious view lumpy tender driven segments like crop & mass health segments. Going forward, it will reduce the proportion of crop insurance and government-sponsored health insurance schemes to overall business. Regarding future growth, Company focuses on less-riskier segments such as private cars, Two-wheelers, selective CVs, retail health indemnity, SME group health, etc.

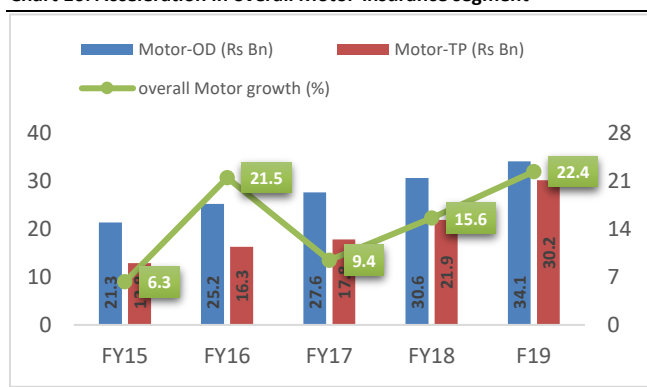


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Motor insurance (44% of GDPI/CAGR 17% between FY15-19):

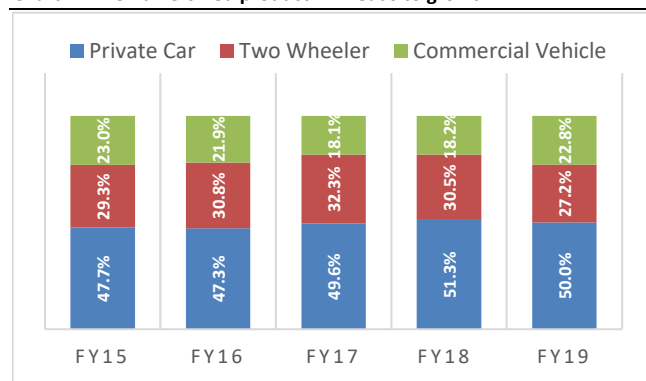
Motor insurance is broadly divided into two categories; own damage (optional/ protects a vehicle owner from damage or theft to his/her own motor vehicle) and third-party (compulsory/ protects all third parties from damages suffered due to an accident). The company is looking to build a sustainable motor portfolio driven by risk-based micro-segmentation and maintain an appropriate mix of models & geographies through selective sourcing. In terms of loss ratios, Motor OD & Motor TP posted a healthy improvement in the last two years to 59.2% & 90.8% in FY19 from 64.2% & 97.4% respectively in FY17. While the introduction of mandatory long-term insurance should increase motor penetration and spur company's third-party premiums growth, I-Lom will continue to focus on own damage segment, which is more profitable than the third-party insurance due to flexibility to select appropriate risk, based on historical information and analytics.

Chart 10: Acceleration in overall Motor insurance segment



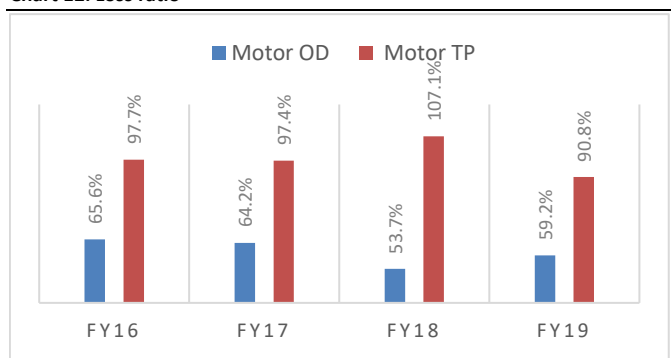
Source: D&B Research, Company

Chart 11: well-diversified product mix leads to growth



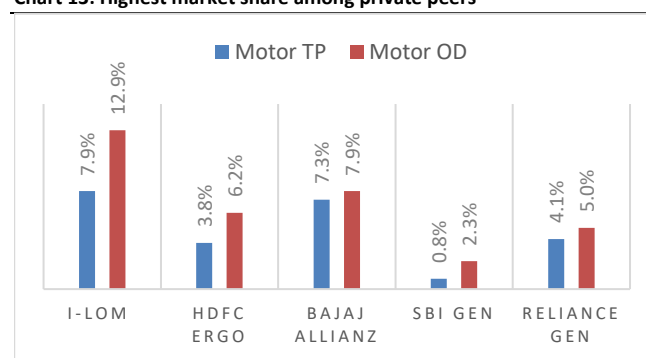
Source: D&B Research, Company

Chart 12: Loss ratio



Source: D&B Research, Company

Chart 13: Highest market share among private peers



Source: D&B Research, Company

In FY19, the company's motor segment GDPI increased by 22% YoY to Rs 6424 Cr, which was attributed to change in product mix within sub-segments of motor aided by rate hike in motor third party segment and increased volume of policies. The company has a well-balanced motor insurance portfolio, with 50% of the motor premiums coming from private cars, 27.2% from two-wheelers and 22.8% from CV segments Vs industry average of 40% from commercial vehicles and 45% from private cars and 15% from two-wheelers. Ideally, private cars & two-wheelers are more profitable segment than commercial vehicles. In the commercial vehicle segment, the company mainly preferred three-wheelers, pick-up trucks, construction equipment, and tractors as historically better risks as compared to other classes of commercial vehicles. Going forward, the company's motor insurance segment will continue to grow at a steady pace, supported by increasing penetration and continues investment in enhancing the distribution network. While structural drivers such as new vehicle sales growth will continue to drive premium



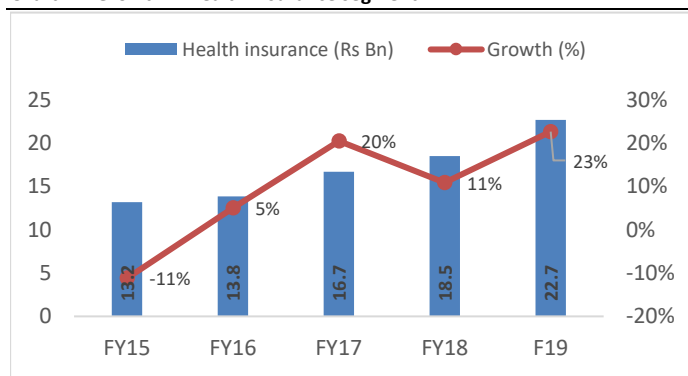
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growth in motor insurance, new Motor Vehicle (Amendment) Act is likely to improve the profitability of this segment (time limit for filing of claims stipulated at six months compared to unlimited time limit earlier).

Health & Personal Accident segment (19% of GDPI/CAGR 16% between FY15-19):

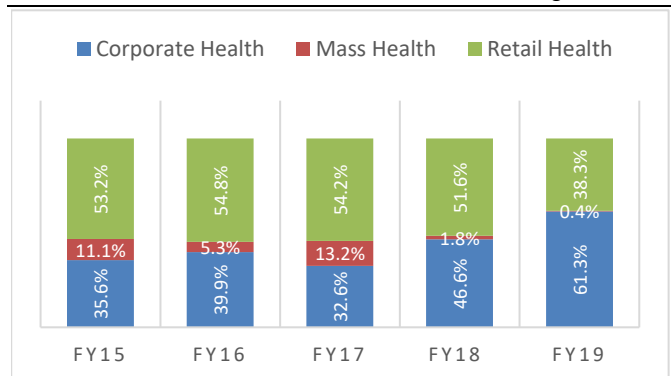
Health insurance is the second largest segment for I-Lom in terms of GDPI in FY19. Its proportion in the overall portfolio dropped from 23% in FY15 to 19% in FY19 as company reduced exposure to lumpy tender driven segments on account of low profitability. On the corporate group health segment, there are three segments, small segment, the mid-market segment and the large risk segment. In terms of Risk-return profiles, Company seeing more value in small & mid-market segment categories and focusing on the same. In the retail health insurance segment, the company is focusing on Tier II and Tier III cities as the loss ratio in these cities has been significantly lower than the rest of the portfolio.

Chart 14: Growth in health insurance segment



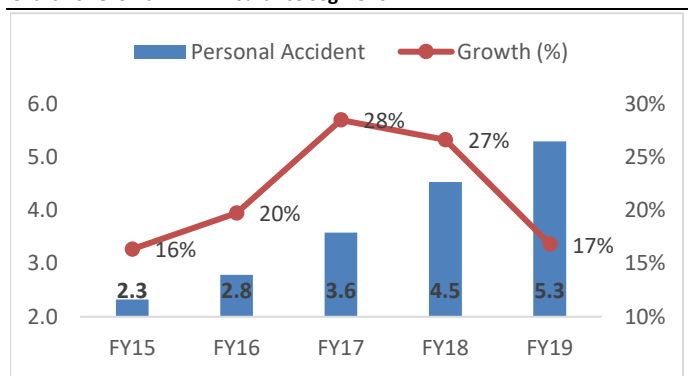
Source: D&B Research, Company

Chart 15: Scale down its business in mass health insurance segments



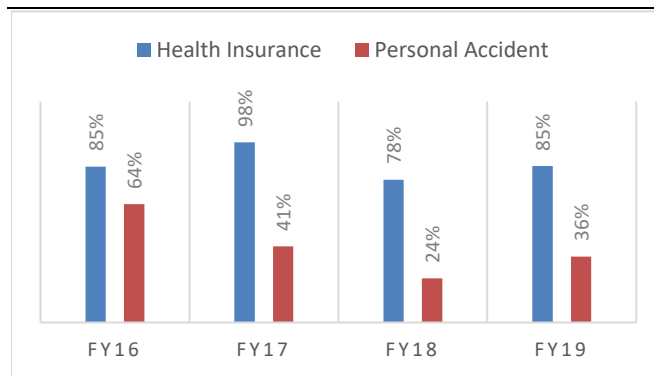
Source: D&B Research, Company

Chart 16: Growth in PA insurance segment



Source: D&B Research, Company

Chart 17: Loss ratio



Source: D&B Research, Company

In FY19, the company's Health & PA insurance segment GDPI increased by 21% YoY to Rs 2796 Cr, which was supported by improved pricing across sub-segments in group health segment and relatively higher growth from new retail health indemnity business. Retail, Group (includes corporate and others) and mass contributed to 38.3%, 61.3% and 0.4% respectively of health and personal accident GDPI for fiscal 2019 and 51.6%, 46.6% and 1.8% respectively for fiscal 2018. Going forward, the company will continue to keep a cautious approach in mass health segments. However, all other sub-segments of Health insurance will continue to grow at a strong pace, supported by the focused approach in small & mid-sized corporate and investments in emerging geographies. Besides, growth will also be fueled by increasing awareness amongst the masses, rise in the incidence of lifestyle-related diseases/critical illness (cardio/cancer, etc) and growing affordability on account of higher income levels.

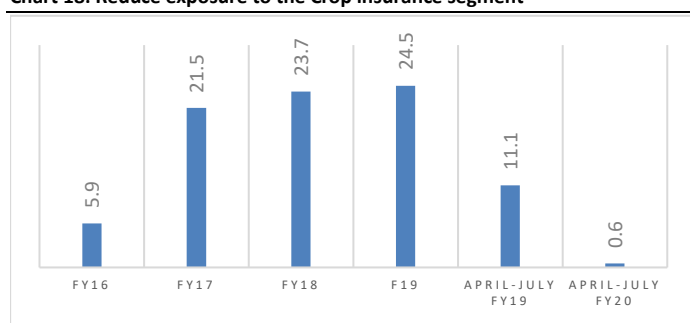


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Crop insurance (17% of GDPI/CAGR 7% between FY16-19):

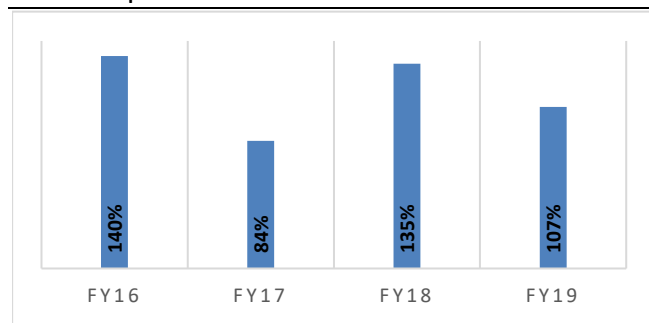
Insurance is more of a risk managing business rather than a premium growing one because if one failed to understand the risk it could hamper their business in the long run. In Crop insurance, the company takes utmost care to select clusters which ensure its presence in diversified agro-climatic areas within the state. Selection of risk is done by analyzing different agro-climatic conditions as well as agricultural parameters like soil type, vegetation, irrigation facilities, rainfall, temperature, relative humidity, and wind speed. Besides, calamity history such as drought, flood, hailstorm, pest and disease occurrence are also considered. The cluster selection model plays an important role in pricing optimization. In the last few years as risks are underpriced in this segment, the company is reducing its exposure. The company's contribution of crop/weather segment to overall GDPI declined to 16.9% in FY19 from 20.1% in FY17.

Chart 18: Reduce exposure to the Crop insurance segment



Source: D&B Research, General Insurance Council

Chart 19: Crop -Loss ratio



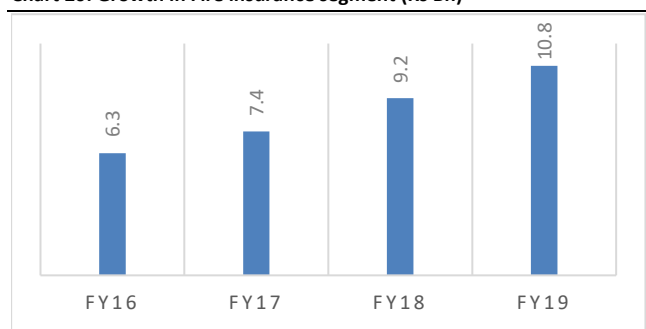
Source: D&B Research, Company

Going forward, the company will continue to reduce its exposure to crop segments due to the volatile nature of the tender-based business, aggressive pricing and hardening of reinsurance rates. Company has not underwritten any crop insurance for the 2019 Kharif season and therefore crop GDPI could be significantly lower in FY20. While the decline in crop GDPI will slower overall GDPI growth, but it will improve EPS and have positive impact on the company's overall combine ratio, since the crop is a loss-making portfolio.

Fire segment (7% of GDPI/CAGR 19% between FY15-19):

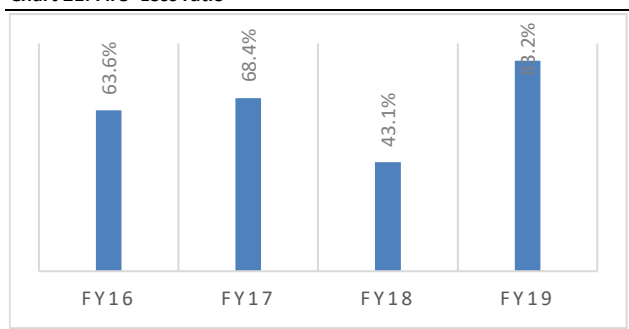
Fire insurance refers to the insurance of dwellings, offices, buildings, factories, machinery, warehouses and other structures against loss or damage due to fire. The insurance risks in this segment are typically classified as large, mid-sized and small risks. Large risks are defined as risks with a sum insured of or in excess of Rs 2500 Cr on at one location for property, material damage, and business interruption insurance combined. These large risks are typically better managed, sold with better terms and include deductibles that are generally in line with international market standards. Large risks are generally co-insured by multiple non-life insurers in India. Mid-sized risks are typically underwritten by a single insurer and their prices tend to be subject to intense competition. Small risks, on the other hand, are generally distributed by bank partners and corporate agents and have attractive pricing. Company's market share in Fire segment increased from 6.8% in FY15 to 9.2% in FY19, which was led by its focused approach in large and small-sized accounts and investments in emerging geographies.

Chart 20: Growth in Fire insurance segment (Rs Bn)



Source: D&B Research, Company

Chart 21: Fire -Loss ratio



Source: D&B Research, Company

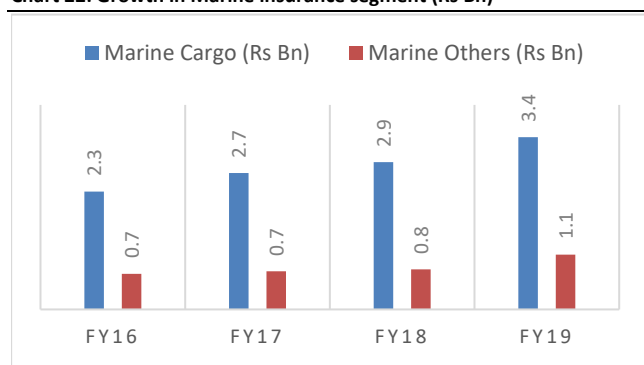


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Marine segment (3% of GDP/CAGR 16% between FY15-19)

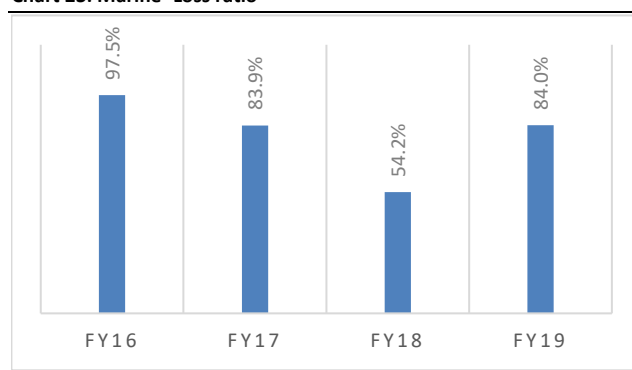
Marine insurance insures goods that are being transported, by land or by sea, and the insurance of ships, boats and offshore structures. Marine Cargo book for FY2019 witnessed double-digit business growth, exceeding the industry performance and placing I-Lom at number one position among private players and at second position at an industry level. I-Lom's market share in this segment increased from 12.7% in FY18 to 13.7% in FY19, which was achieved by leveraging innovations under the aegis of its Marine Value-Added Services (VAS), including antitheft and anti-hijacking programmes, monitoring of temperature-sensitive cargo, supply-chain solutions, and through its proprietary Marine Loss Control Engineering (MLCE).

Chart 22: Growth in Marine insurance segment (Rs Bn)



Source: D&B Research, Company

Chart 23: Marine -Loss ratio



Source: D&B Research, Company

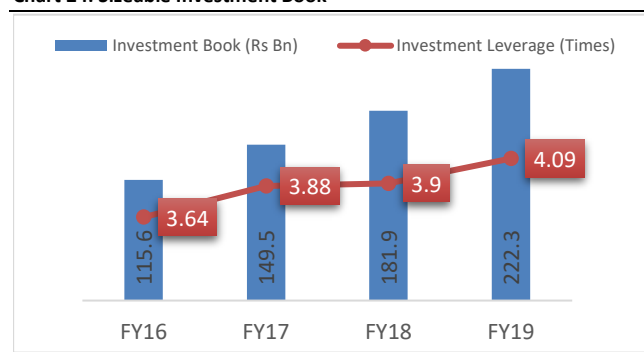
Other insurance products

Apart from the above-mentioned insurance products, I-Lom also offers Engineering insurance (insurance that provides coverage for risks faced by an ongoing construction project, installation project, and machines and equipment used in such project), travel insurance, aviation insurance, credit insurance, home insurance, liability insurance, fidelity insurance, etc

Strong investment returns on diversified portfolio

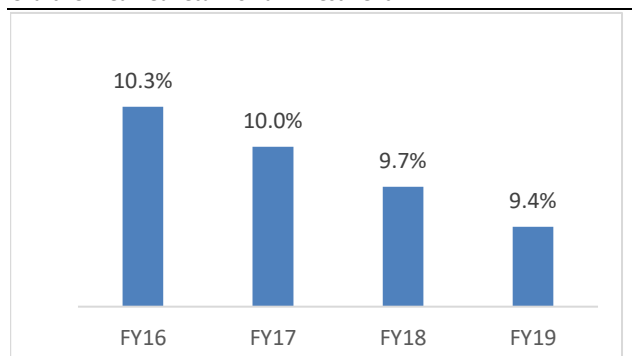
I-Lom's investment management philosophy is designed with the objective of capital preservation and achieving superior total returns within identified risk parameters. Investments include debt, equities, mutual funds, and other alternative investments. This philosophy of generating superior risk-adjusted returns resulted in an annualized total return of 27.8% in I-Lom's listed equity portfolio since FY2004, as compared to an annualized return of 16.9% on the benchmark NIFTY index.

Chart 24: Sizeable Investment Book



Source: D&B Research, Company

Chart 25: Realized return on an investment



Source: D&B Research, Company



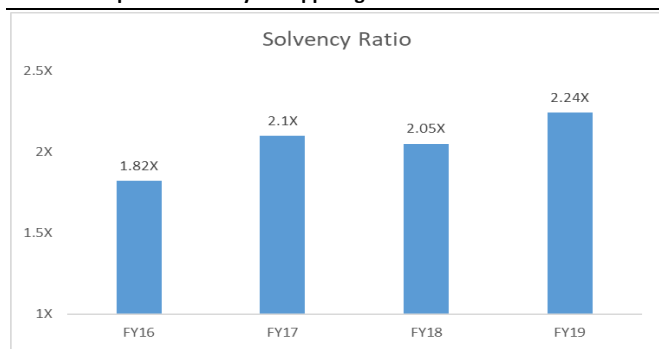
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As of March 31, 2019, the company had Rs 222.31 billion (vs 181.93 in FY18) in total investment assets with investment leverage of 4.09x (vs 3.9x in FY18). The increase in total investment assets was primarily due to improved cash inflows from efficiency in operations, realized investment income and inflows from the introduction of long-term policies in motor insurance segment effective September 1, 2018. According to management, investment leverage is expected to improve further to 4.5-5x in the next three years. Considering the combined ratio below 100% and investment yield around 9%, any increase in investment leverage shall prove to be RoE accretive for I-Lom.

Strong operating and financial performance

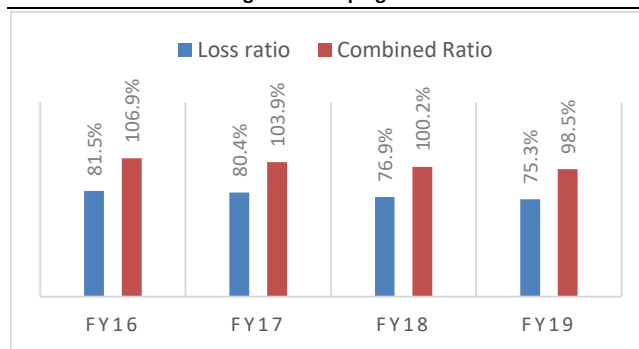
I-Lom has a strong capital position, with solvency ratio (which indicates an insurer's financial capacity to meet its short-term and long-term liability) stood at 2.24x vs regulatory requirement of 1.50x. With better solvency ratio, the company is well positioned to capture the strong growth opportunities available in the Indian market. The strong capital position is reflected in its large net-worth of Rs 5320.46 Cr, and un-booked appreciation of Rs 338 Cr in its equity investment portfolio as of March 2019. Besides, the company's combined ratio (an indicator of underwriting performance) has improved significantly from 105% in FY15 to 98.5% in FY19, which was driven by two factors; reduction in loss ratio (declined from 81% in FY15 to 75% in FY19) and compression in expenses ratio (ex-commissions/ declined from 31% in FY15 to 21% in FY19). We expect combined ratio to be in the vicinity of 100% in foreseeable future, supported by stable loss ratio and better expense ratios. In order to reduce turnaround time and improve operating efficiency, I-Lom is making extensive use of technology, automated most of its processes and using digital platforms to increase distribution and servicing capabilities.

Chart 26: Superior solvency to support growth



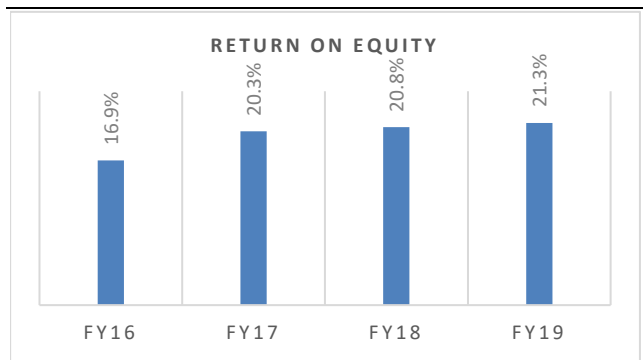
Source: D&B Research, Company

Chart 27: Better risk management keeping loss ratios low



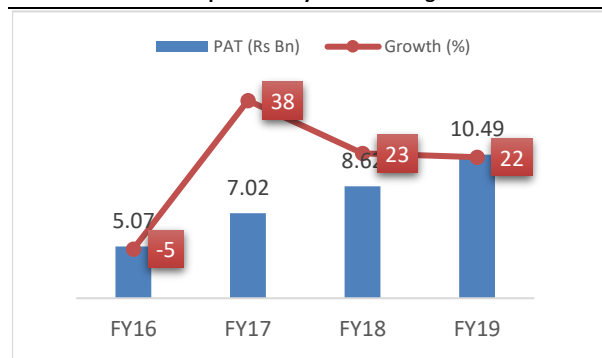
Source: D&B Research, Company

Chart 28: Robust return ratios



Source: D&B Research, Company

Chart 29: Growth and profitability remain at high levels



Source: D&B Research, Company



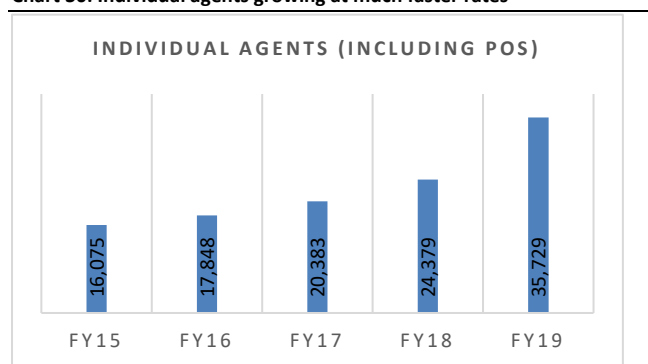
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The company has a comfortable liquidity position, with 30% of the investment portfolio being constituted of highly liquid G-Secs (both Central and State government securities) and cash & bank balances of Rs 402 Cr as on March 31, 2019. Moreover, the company has been maintaining adequate reserves against the claims to be paid. Its claims settlement ratio is one of the best in the general insurance industry (settled 99.87% health claims in FY2019 (99.90% in FY2018) and 93.14% motor own damage claims (90.84% in FY2018) within 30 days).

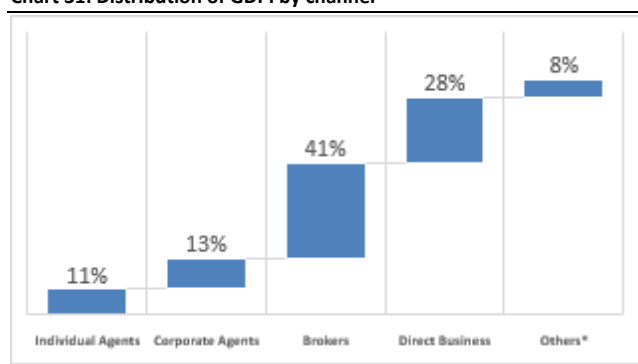
On the geographical front, the company has operations across 28 states through 265 branches, most of which are leased premises. The company's key distribution channels include direct sales, individual agents, corporate agents - banks, other corporate agents, brokers, and digital platforms. As of March 31, 2019, I-Lom had 35,729 Individual agents (including POS), 95 corporate agents, 5,025 network hospitals and 7,800 network garages. Company is also investing in increasing its penetration into tier III and tier IV cities primarily through the agency and virtual offices (added 775 virtual office in FY19) network.

Chart 30: Individual agents growing at much faster rates



Source: D&B Research, Company

Chart 31: Distribution of GDPI by channel



Source: D&B Research, Company

Valuation

With strong capitalization, sound investment quality and prudent risk management practices, we expect that I-Lom to deliver strong performance, including solid underwriting, higher profitability & better solvency in foreseeable future. India, as a country offers immense growth opportunities for non-life insurance sector, owing to the favourable demographic dividend (with 65% of the population below the age of 35), Progressive regulations and lower penetration of non-life insurance at around 1.2% of GDP (calculated). Company's financial performance will also benefit from the lower tax rate regime (tax rate declined to 25% from 34-35%). We initiate coverage on the stock with a buy rating and a target price of Rs 1,400 per share. At the current market price of Rs 1,170, it is trading at a premium valuation of 39x its FY2020E earnings. We value the stock at 28x Mar'22E EPS for a PAT CAGR of 29% over FY19-22E.



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Financial Summary (Rs mn)

(Year-end March)	FY19	FY20E	FY21E	FY22E
Gross direct premium income	144,882	152,313	179,117	209,289
Net Earned Premium	83,753	95,549	112,511	130,334
Operating profit/(loss)	12,314	15,364	19,094	24,006
Profit before tax	15,984	19,525	24,065	30,237
Profit after tax	10,493	13,667	18,049	22,677
Pre-exceptional EPS (Rs)	23	30	40	50
Growth (%)	22	30	32	26
BVPS (Rs)	117	133	162	199
Dividend payout (%)	31	28	27	26
Solvency ratio	2	2	2	3
ROE	19	22	25	26
P/B	10.0	8.8	7.2	5.9
P/E	51	39	29	23

Income Statement (Rs mn)

(Year-end March)	FY19	FY20E	FY21E	FY22E
Operating profit/(Loss)	12,314	15,364	19,094	24,006
- Fire Insurance business	567	1,016	1,229	1,542
- Marine Insurance business	(363)	(251)	(199)	(169)
- Misc. Insurance business	12,110	14,598	18,064	22,634
Income from Investments	4,600	5,449	6,503	8,054
Other income - misc income	143	0	0	0
Total Income	17,057	20,812	25,597	32,060
Total Expenses	1,073	1,288	1,532	1,824
Profit Before Tax	15,984	19,525	24,065	30,237
Tax	5,492	5,857	6,016	7,559
Profit After Tax	10,493	13,667	18,049	22,677

Balance sheet (Rs Mn)

(Year-end March)	FY19	FY20E	FY21E	FY22E
Shareholders' Funds				
Share capital	4,543	4,544	4,544	4,544
Reserve and surplus	48,662	58,570	71,836	88,617
Fair Value change	3,384	3,384	3,384	3,384
Borrowings	4,850	4,850	4,850	4,850
Total	61,439	71,349	84,614	101,396
Application of funds				
Investments				
Shareholders'	53,431	61,659	71,525	83,684
Policyholders'	168,877	218,612	272,390	329,592
Fixed assets	4,652	4,931	5,277	5,646
Deferred tax asset	3,013	3,013	3,013	3,013
Current assets				
Cash and bank balances	4,016	4,086	4,343	4,686
Advances and other assets	100,037	103,420	121,531	141,689
Sub-Total (A)	104,053	107,507	125,874	146,375
Current liabilities	216,228	251,771	302,860	355,456
Provisions	56,359	72,602	90,604	111,457
Sub-Total (B)	272,587	324,373	393,464	466,914
Total	61,439	71,349	84,614	101,396

Ratio analysis (%)

(Year-end March)	FY19	FY20E	FY21E	FY22E
Growth Ratios (%)				
Gross Direct Premium Income	17	5	18	17
Net Premium Income	21	14	18	16
Operating Expenses	19	14	19	16
NPAT	22	30	32	26
Profitability Ratios (%)				
Retention Rate	64	70	71	70
Commission To NEP	3	3	3	3
Opex to NEP	24	24	24	24
Combined Ratio	98.5	98.6	99.3	99.5
Balance Sheet Ratios (%)				
ROE	19.2	22.2	24.7	25.7
Solvency Ratio	2.2	2.4	2.5	2.6
Investment Leverage	4.1	4.4	4.4	4.4



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